Indonesia Sovereign Asset Liability Management

Managing FX Exposure

Sovereign Debt Management Forum
December 3-4, 2014 , Washington DC

Background

- Rationale
  - ► Asian Crisis 1997 Indonesia was very badly hit because of large exposure to short term FX Debt.
    - Small fx reserve not enough to service short term obligation
    - Large exposure to short term fx borrowing especially from private sector
    - Weak financial system without effective risk management could not prevent financial crisis
  - ► Alarming signal about Increasing vulnerabilites to Public Balance Sheet due to higher growth in country FX borrowing especially by State Owned Enterprise.
    - Huge need for borrowing in FX to finance the expansion
    - Ample liquidity in global market provide easy access to borrow
    - Lack of natural hedge or hedged position
  - ► 2008-2009 IMF-World Bank Mission to analyze the management of Financial assets and liabilities on the balance sheet of Goverment and Bank Indonesia, gave recommendations:
    - – Cordinating the management of FX reserve and external debt portfolio in order to reduce currency risk
    - – Strengthening institutional role between government and BI: reducing SBI (BI Certificates) role and optimizing the use of Goverment Securities as monetary instruments.
    - – Improving cash management and coordination between debt & cash management units within MOF.

Cordination FX Management Current Condition

Bank Indonesia

Monetary Policy

Monetary Operation
- to stabilize IDR exchange rate

Managing FX Reserve
- liquidity
- safety
- performance

BI has independency on managing FX reserve

Government agent
- bond auction
- cash Payment
- goverment Bank
- received deposit

Operated Based on BI Law

Surplus

IDR & FX deposit

Government

Fiscal policy

Managing fiscal (budget)

Collect tax and non tax revenue, spending, financing,investment

Issues goverment securities both IDR and FX

Cordination with BI on issuance plan

Managing debt portfolio

Securities and loan

Give onlending to SOE

State investment

Operated based on state finance law and treasury law

Subsidies, govt. investment, on lending

Divident,tax, royalty

State Own Enterprises

Agent development

Public service obligation

PT Pertamina, PT PLN, PT Telkom

Financial service

Bank insurance

Pure Business

Goverment long term investment

Received on lending from goverment

Issue bond and loan both IDR and FX,

Goverment permit for FX borrowing

Operated Based on SOE Law

2014 SALM new
Study on Managing FX Exposure

- Objectives
  - Mapping the FX exposure conditions on:
    - Goverment., Bank Indonesia, and SOEs balance sheet. Consolidated B/S of Govt. and BI, and Consolidated of Neraca Pemerintah, BI, BUMN, dan Neraca Publik (Neraca Konsolidasi)
  - Analyzing the vulnerabilities on FXexposures of Public B/S
  - Results of Analysis will propose:
    - Portfolio management and its risk mitigation on public fx asset & liabilities
    - an alternative framework for FX management especially -for Goverment & BI B/S

- Scope
  - Financial Assets & Liabilities of Government, Bank Indonesia and 6 SOEs
  - Main currencies : Major and Significant Currencies (USD, JPY, and EUR)
  - Risks:
    - At this time only mapping the net fx risk exposures on balance sheet of Government, BI, and SOEs
    - In future it will focus on analysis of interest rate and refinancing risks, NPV of assets & liabilities, analysis on duration/maturity of asset & liabilities, analysis on cash flow of public fx exposures

- Method
  - Source of Data:
    - LKPP (Audited Govt. Financial Statement)
    - LKBI (Audited BI Financial Statement)
    - Annual Audited Financial Statement of 6 Non Banks – SOEs (incl. PT. Pertamina dan PT. PLN)
  - Converting all the FX currencies into rupiah denominated numbers
  - Applying assumptions for detailed breakdown of BI's balance sheet items

Balance Sheets of Govt., BI, SOEs

Government	2008	2013
net exposures	*1,502*	*2,247*
Assets	**(135)**	**(124)**
Demand Deposits in BI	(93)	(60)
On-Lending	-	(57)
Cash in BI	(42)	(7)
Liabilities	**1,637**	**2,371**
Bonds	906	1,661
Loans	730	710

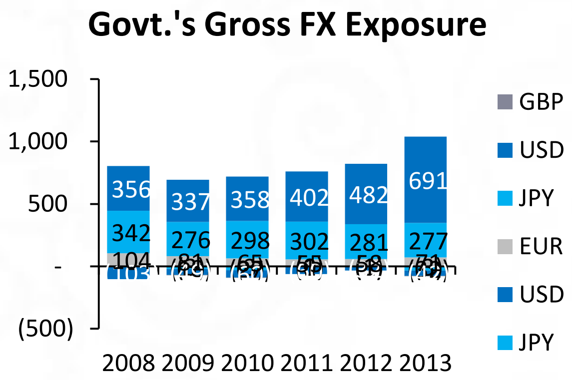
Bank Indonesia	2008	2013
net exposures	*(397)*	*(774)*
Assets	**(587)**	**(1,253)**
Securities	(500)	(973)
FX Demand Deposits	(34)	(135)
SBN Ownership	(23)	(44)
Gold	(22)	(37)
Special Drawing Rights	(0)	(33)
FX Deposits	(7)	(31)
Foreign Currencies	(0)	(0)
Liabilities	**190**	**480**
Banks DD	85	323
Govt. DD	93	60
Term Deposits	-	57
SDR Allocations	4	37
FX Loans	7	3

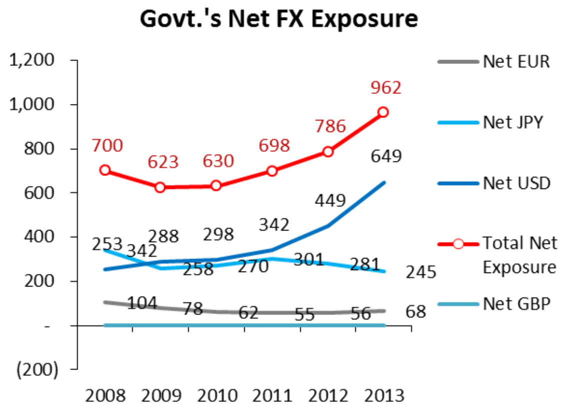
SOEs	2008	2013
net exposures	*127*	*373*
Assets	**(54)**	**(121)**
Cash	(44)	(118)
Short term investment	(7)	(2)
Other Asset	(3)	(1)
Liabilities	**181**	**493**
Bonds	35	180
Loans	52	120
Trade Payables	46	85
Short Term Borrowing	11	61
On-Lending	30	40
Electricity Purchase Payable	8	7
Dividen to Govt.	15	0

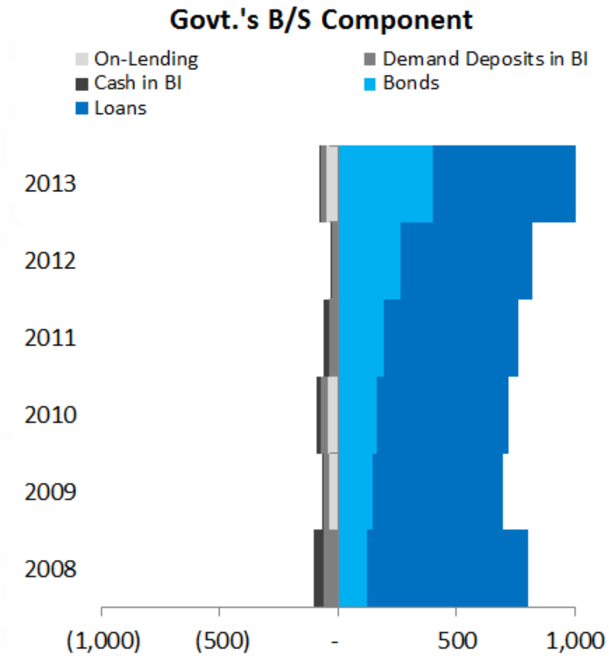
Notes:
1. Nominal in trillion Rupiah,
2. Liabilities is shown by positive numbers and assets in negative ones,
3. Currencies includes all FX currencies and IDR
4. Govt.'s numbers are using LKPP 2008-2013 (audit)

- Government and SOEs had larger financial liabilities compared to their financial assets
- Bank Indonesia had larger assets than its liabilities
- Most of government financial asset is on Demand Deposits in BI and on the liabilities side most of it are government securities
- The largest asset in BI's balance sheet is the international reserves for the purpose of financing imports and debt services (from government and private sectors). The largest liabilities is the Demand Deposits for national banks
- The largest asset in SOEs balance sheet is in Cash and the largest liabilities are debts (bonds and loans)

Overview B/S - Government







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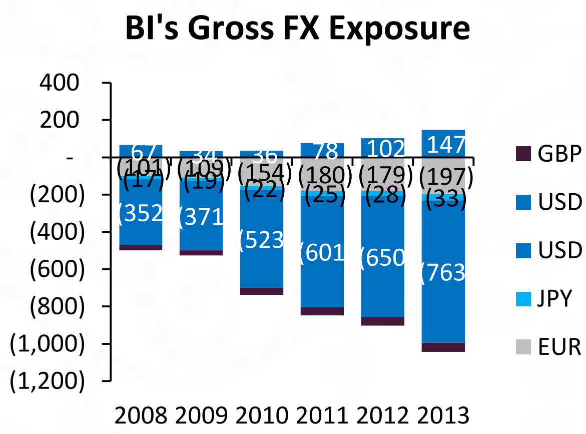
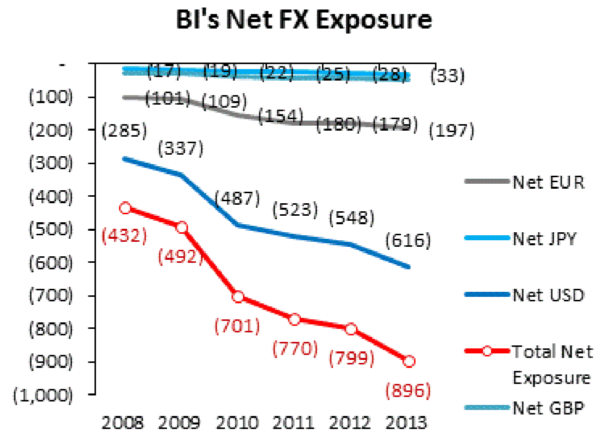
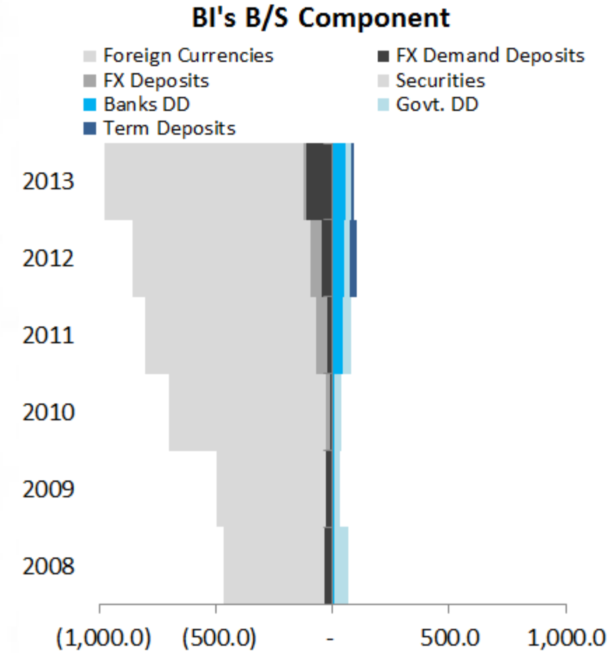
- Characteristic of B/S
  - ► Assets :
    - – mostly in form of Demand Deposits in BI & On Lending to SOEs,
    - – mostly in fixed assets
  - ► Liabilities:
    - – Biggest portion is in FX Debt consists of FX Loans and Securities

- In recent 5 years, the gross fx exposure in USD and EUR increased while JPY decreased. The net USD exposure in USD and JPY remained significant. However the net USD exposure increased sharply in 2013, because of :widening budget deficit which caused USD borrowing -to increase and Rupiah depreciation against USD

Overview B/S – Bank Indonesia







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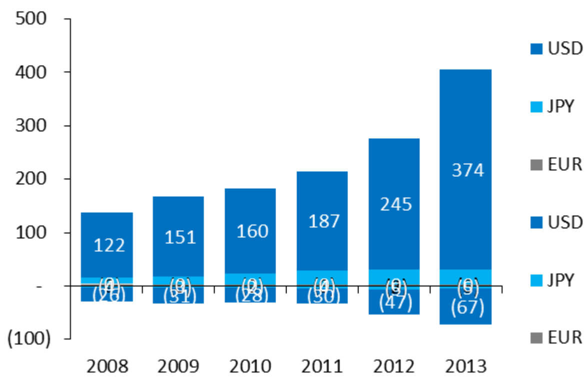
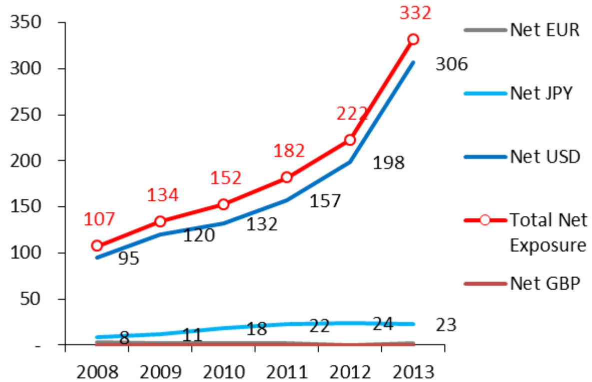
- Characteristic of B/S
  - Assets: mostly in Securities (detailed currencies proportions are not clearly defined) and FX Demand Deposits
  - Liabilities: majorities in Bank Demand Deposits, Govt. Demand Deposits
- Fortunately on the BI side of B/S, their liabilities are much lower than their assets
- Those assets which are mostly in Securities (other sovereign bonds) increased dramatically after 2009, possibly because of the effect of large issuance Goverment's FX denominated bonds (as the consequences of increased budget financing).

Overview B/S - SOEs

SOEs's Gross FX Exposure



SOEs's Net FX Exposure



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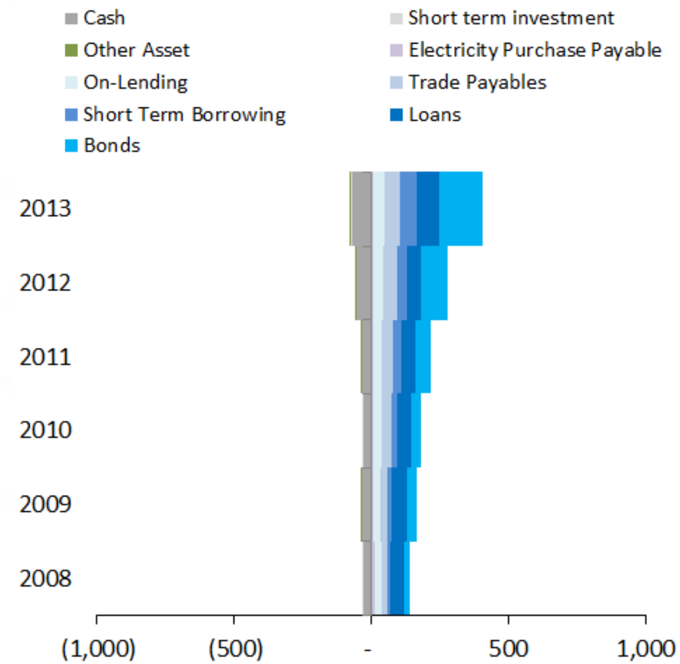
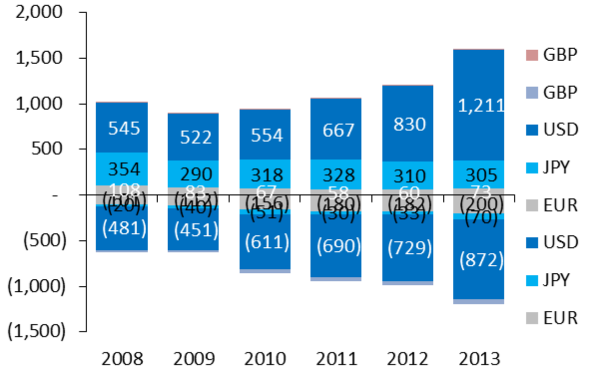
SOEs' B/S Components



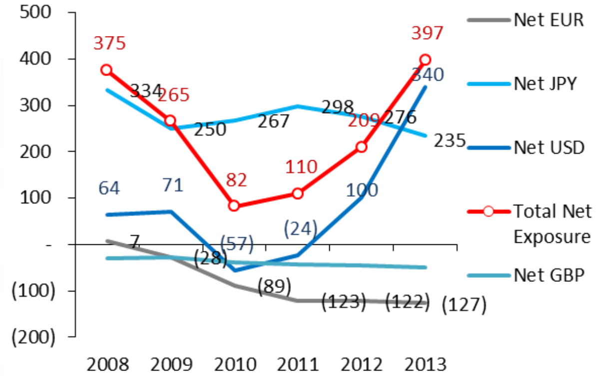
- Scope
  - Consists of 6 SOEs with largest assets and liabilities and also largestf x exposure
  - 4 SOEs are public companies, the others are PT Pertamina and PT PLN
  - These 6 SOEs can represent 80% of of all SOEs (140 SOEs),
  - Excluding SOEs' Banks, considering Regulations from BI for Banks to have less fx exposure in their portfolio, so we considered them to have very little net fx exposure
- Characteristic
  - Most of SOEs assets are in form of Inventory, Receivables from Govts, Cash
  - Majorities of liabilities are in Loans, On-Lending, Trade Payables, and Bonds
- SOEs Liabilities
  - The net positive fx exposure of USD had sharply increased after the it decreased in 2012
  - Main contributors of the increasing net fx exposure of USD were from Pertamina's Debt (Rp122 trillion) and Short Term Borrowing (Rp61 trillion) and also PLN's Debt (Rp106 trillion)

Consolidated B/S

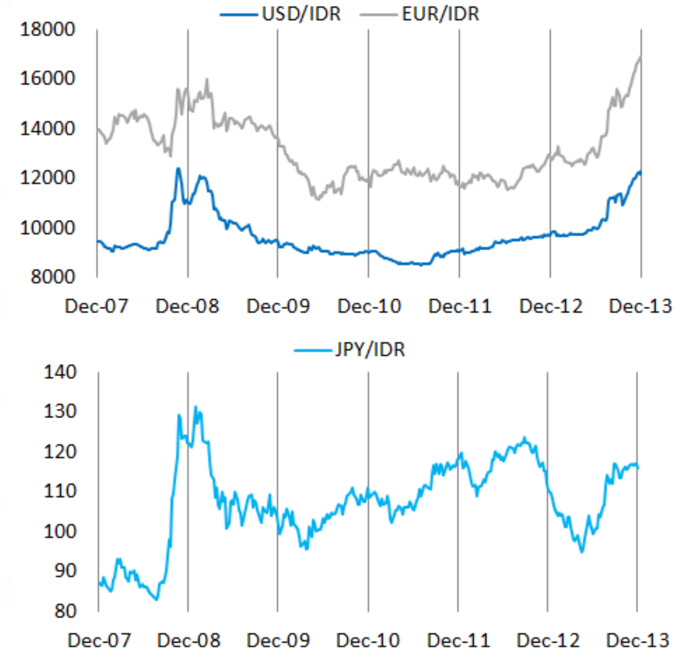
Govt. + BI + SOEs's Gross FX Exposure



Govt. + BI + SOEs's Net FX Exposure



FX to IDR Movement (2008-2013)



- Findings
  - ▶ Biggest Public FX Net Exposure is in USD then followed by JPY, EUR net exposure is negative (assets > liabilities)
- Vulnerabilities Analysis
  - ▶ Net exposures to USD is speeping up. Main reason is the widening fiscal deficit which translates into bigger financing need which causes increasing need for government FX borrowing. The other reason is the expansion of some SOEs especially PT. Pertamina to finance its foreign-investment and PT . PLN to meet its electricity capacity targets
  - ▶ Net exposures JPY is slightly down, because even though the SOEs JPY debt is increasing, on the government side, JPY debt continues to decrease.

Conclusion & Recommendation

- Conclusion
  - B/S of Government & BI
    - Net FX Exposure JPY which is quite vulnerable → positive net exposure
    - Net FX Exposure USD is within measurable/controllable level
    - Net FX Exposure EUR provides more room to expand such as issuing EUR denominated Bonds . The EUR Bonds issuance will also support efforts to balance debt portfolio in JPY and USD denomination
    - A need for coordination in high level officials to analyze the detail breakdown of FX reserves and to support strong and reliable analysis on Goverment & BI net FX exposures. (right now it is still chalenging to gather detail data for each balance sheet due to regulation)

- Recommendations
  - Increase fx asset
    - Increase export repatriation → export revenue is not directly transfered to Indonesian economy
  - Reducing fx debt issuance by reducing budget deficit
    - Increasing issuance of domestic SBNs → need domestic market development to increase domestic market absorption
    - Limiting issuance of fx denominated SBNs → SOMETHING MISSING HERE?
    - Limiting fx borrowing for SOEs → need more coordination within government institutions
  - Converting EUR assets to USD or JPY to minimize USD and JPY exposures
  - Conduct hedging to mitigate USD & JPY risks
    - Coordination with Bank Indonesia to map the exact amount of hedging. This need joint policy to determine which currency and how much exposure to be hedged, and who should do it.

Next steps on Managing FX Exposure

Next Step :

- Improving the research with more detail aspect among others about short term Horison of FX exposure where currently not yet adressed and interest rate exposure aspect of consolidated balance sheet.
- Revising current regulation to give umbrella to a much better cordination as follow :
  - BI Law where new draft incorporate a clause about Sovereign ALM where the current is not.
  - Improve regulation about SOE FX borrowing which currently regulate a prosedure for SOE to borrow in global market.
  - Create an MOU between Goverment and BI to arrange cordination mecanism on sovereign ALM including FX management.
- Create a new unit in ministry of Finance that in charge of managing sovereign balance sheet including FX exposure.
- Improve Coordination in fx debt and reserves composition
  - Realignment which will require more transparencies on detailed currency selection on some B/S item
  - Coordination in hedging policy to minimize amount required/executed for each hedging transaction.

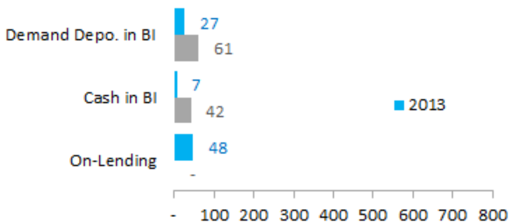
Thank You

Additional Charts

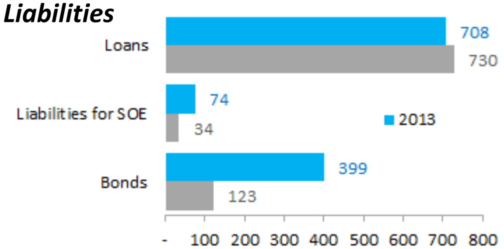
B/S Compositions of Govt, BI, and SOEs in 2008 & 2013
including all fx currencies

Government

Assets

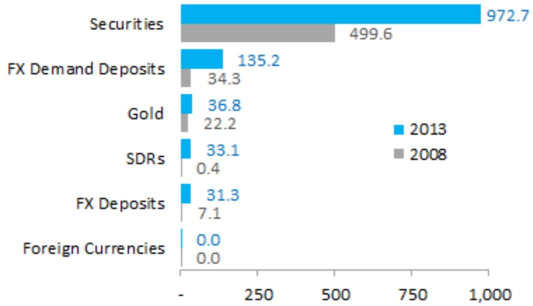


Liabilities



Bank Indonesia

Assets



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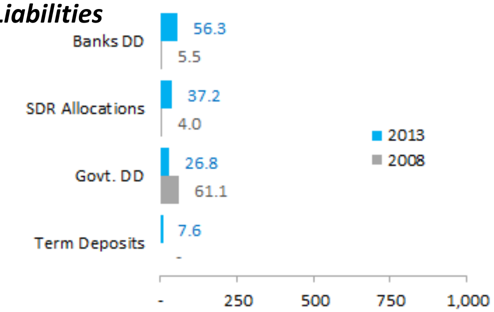
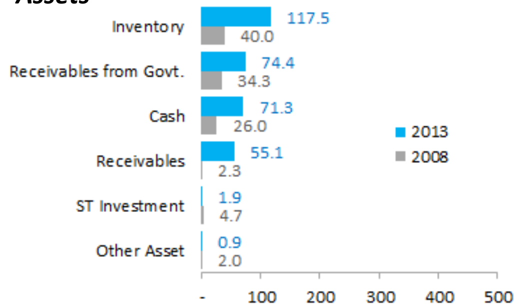


SOEs

Assets



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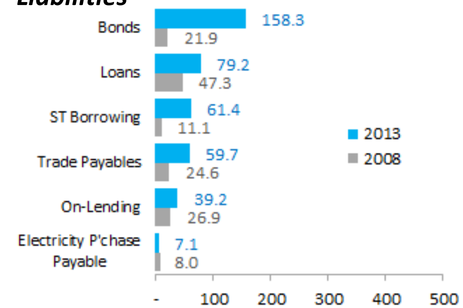
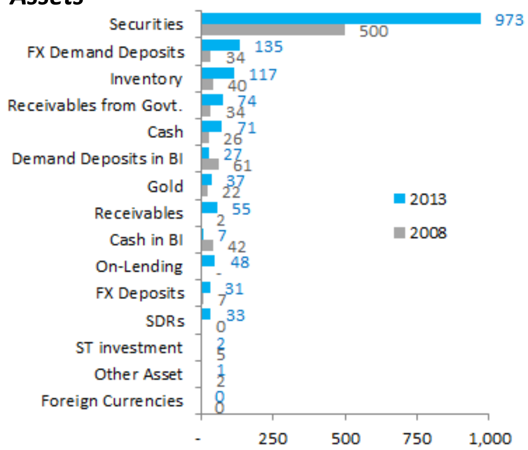


Compositions of Consolidated B/S in 2008 & 2013
including all fx currencies

by B/S Components

Assets



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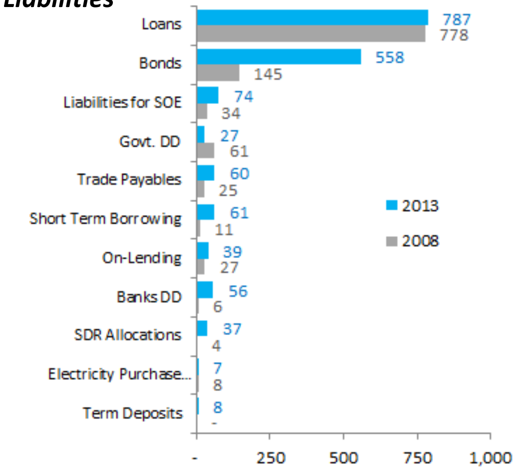
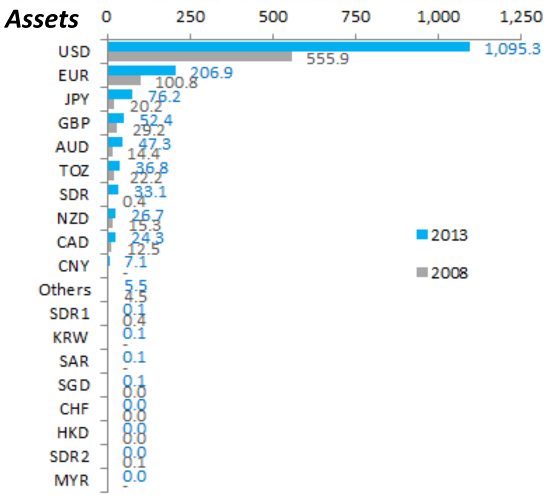
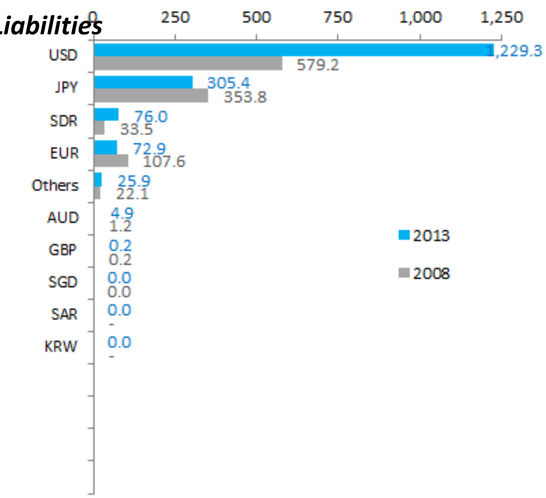


by Currencies

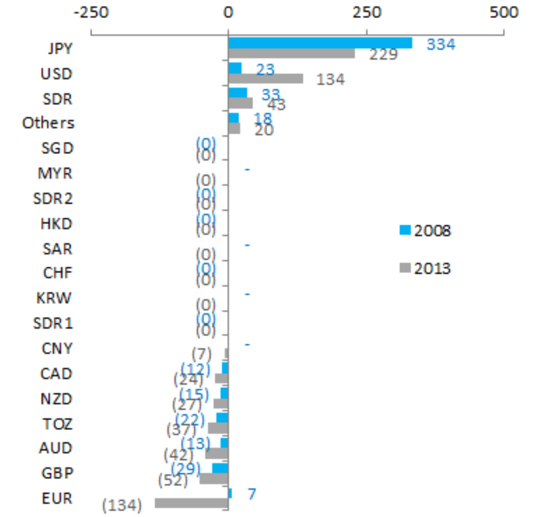
Assets



Liabilities

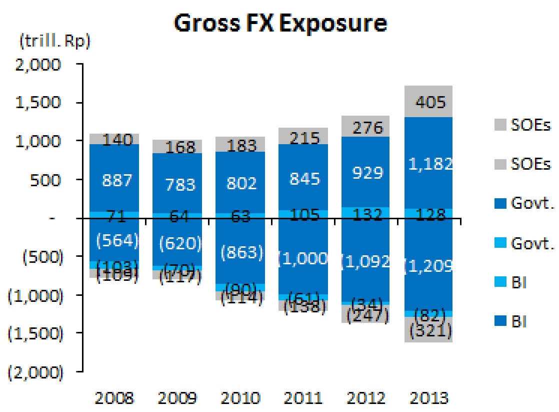


All Currencies Net Exposures

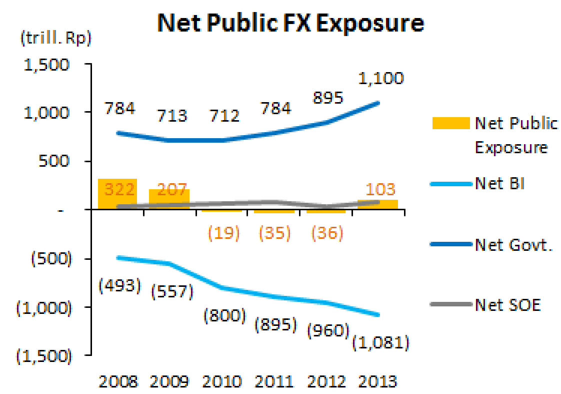


FX Exposures on Consolidated B/S
including all fx currencies

Gross Exposure



Net Exposure



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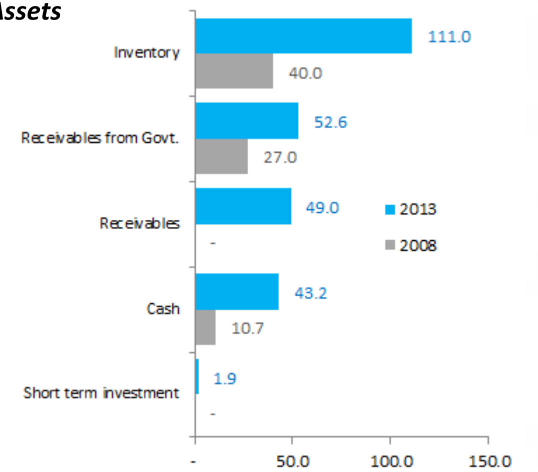
- If considering all fx currencies, the public B/S experienced a deficit in net fx exposure
- This happened as a result of extensive fx borrowing conducted by Govt. (for financing budget deficit) and SOEs (for expansion) in 2013, while the size of BI's assets did not expand significantly

Sample of SOEs Balance Sheet

PT.Pertamina

Assets



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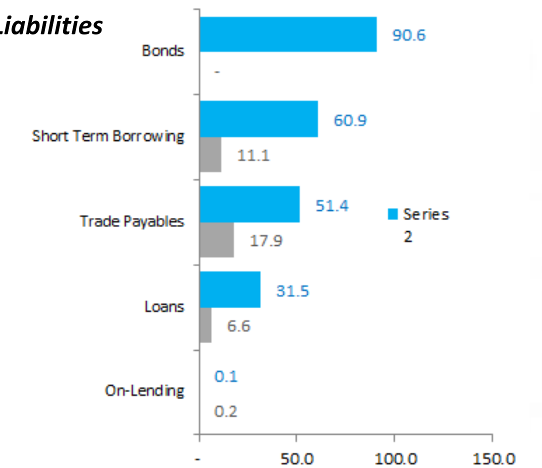
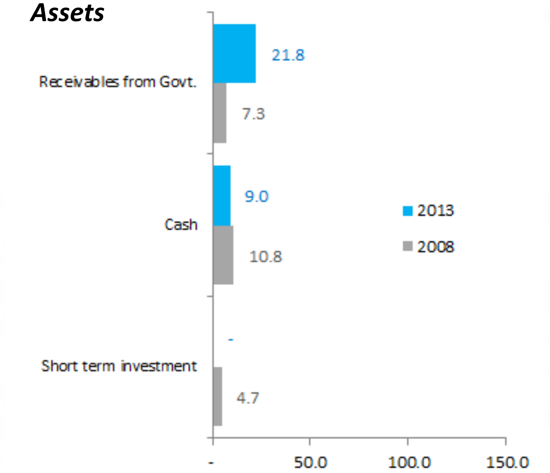


PT. PLN

Assets



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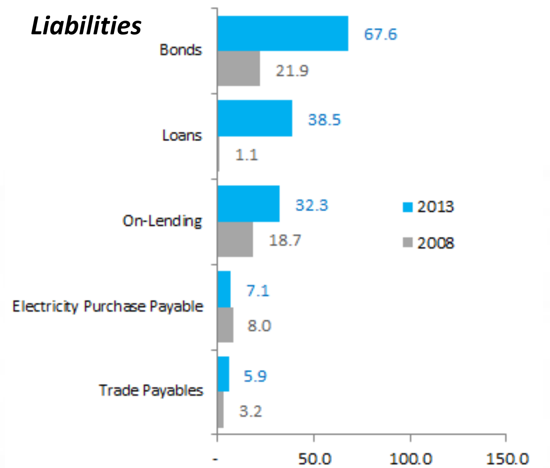
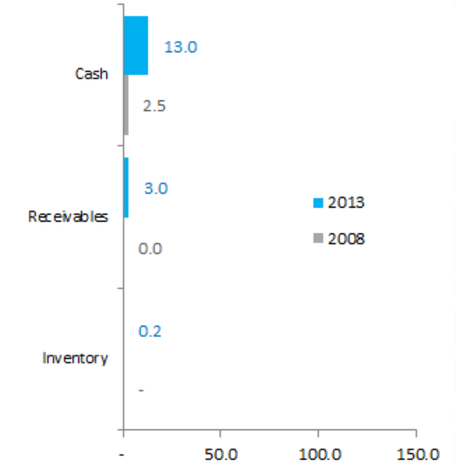


PT. PGN

Assets



Liabilities